

HSBC - North America

Alert Monitoring Procedures

Anti-Money Laundering (AML)
Payments and Cash Management (PCM)

FINAL

Version 4
May 2013



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Revision History

Date	Version	Status	Prepared by	Comments
March 2011	1.0	Final	Michael Troccia	This is a new procedure, parts of it (identified within) are the successor to the Camp Plus Process,
July 21, 2011	1.0	Final	Michael Troccia Robert Axelrod Timothy Dunfey Stephanie Napier Kristen Gaken Heather DiGaudio Karen Stowe	Document contents restructured. Wording refreshed throughout. Norkom functionality included throughout. New alert clearing process for PCM as of April 2011. Published 7/21/2011 at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html with an addendum
November 2011	2.0	Final	Kristen Gaken Heather DiGaudio Jeffery Kraft Richard H Rogers Karen Stowe	Updated formatting to standard HSBC style, corrected for present tense, active voice, spelling, grammar and clarity. Incorporated the Transactions Monitoring Procedures v1.0 addendum throughout, and updated those processes. Updated the Nested Bank and Targeted Monitoring sections. Removed the Automated Alert Monitoring sections and replaced with this stand-alone document. Added Risk Triage Managers section. Investigators no longer draft SARS. Added Colombo, Sri Lanka to GSC Team description. In the Automated Monitoring Program Overview, changed Director approval to Team Leaders or designated Senior Investigators Changed SOS to STDI. Added Alert Assignment Manager duties in the Alert Assignment Methodology section. Added the Related Alerts section In the Initial Investigation section, added using the address screen and pseudo customer detail screen. In the Case Research and Analysis section, added requirement for WC and Google for focal entity, specific instructions about attachments and AMS searches and alert closing. Clarified Account on Watch and RFI instructions. Deleted the CB013 and CB 014 section. In Bank to Bank Guidance, added that investigators may apply the guidance to other financial institutions with team lead approval. Added the Sending an RFI for Certain Language section.

Date	Version	Status	Prepared by	Comments
				Updated Responses to Closed Alerts Included referral to SAR Writing Team Procedures. In the Alert Assignment Methodology, in the “Alerts composed of 10 transactions” bullet, changed 10 to “multiple” with text to indicate this number may vary based on management decisions. This is one of the factors that determine if an alert may be assigned to the GSC. In the Escalations section, Director has delegated authority to assistant directors. SAR writing sections deleted, referred to SWT/
January 2012	2.1	Final	Kristen Gaken Karen Stowe	Added false positive assignment eligibility sentence to Alert Assignment Methodology section.
January 2012	2.2	Final	Kristen Gaken Karen Stowe	Deleted the following sections: · Large Round Dollar False Positives · Wash Trade False Positives · Low Round Dollar
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June 2012	2.6	Final	Jeffrey Kraft Kristen Gaken Karen Stowe	Changes to offshore Account on Watch process. Addition of CB017 Wash process.
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September 2012	2.8	Final	Camille Pilgrim-Hayes Kristen Gaken Karen Stowe	Updated RFI section. Updated Reports and Monitoring section. Added list of KYC CDD EDD systems and instruction to use them.
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January 2013	3.1	Final	Nicholas S. Werner Karen Stowe	Updated KYC systems information.

Date	Version	Status	Prepared by	Comments
March 2013	3.2	Final	Nicholas S. Werner	The key changes include: A statement reflecting that PCM now performs 90 day SAR reviews (Section 3.3.1) Language additions regarding the Alert Assignment Methodology (Section 3.3.2) Minor language changes to section 3.3.2.3 Moved the "Publicly Traded" rule from section 3.3.3.5 to section 3.3.3.8.3 (no language changes) Deleted section 3.3.3.7.3 (additional "Bank to Bank" guidance that is overlapping and conflicting with the below item) Language changes to the "Bank to Bank Activity" now in section 3.3.3.8.4 (moved from section 3.3.4.6)
May 2013	4	Final	Adrian Riley	Updated Alert Assignment Methodology section

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AML Payments and Cash Management is responsible for maintaining version series, original requests, supporting documentation and approvals of this procedure.

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Table of Contents

Section 1: Introduction	5
Section 2: Roles and Responsibilities	6
2.1 Overview	6
2.2 PCM AML Monitoring & Investigations Team.....	6
Section 3: AML Monitoring Processes in PCM	9
3.1 Overview	9
3.2 Reports and Systems Used for Monitoring	9
3.3 Automated Monitoring Program.....	9
Section 4: Escalations.....	33
4.1 Overview	33
4.2 Potential SAR Suspect Hit Alerts	34
4.3 Convert Alerts to Cases for Escalation Purposes	34
4.4 Escalation Procedures	35
Section 5: Requests for Information (RFIs)	36
5.1 Overview	36
5.2 RFI Request Types	36
5.3 RFI Responses	38
5.4 Third-Party Research	38
5.5 TMU	38
5.6 Duplicate Requests	39
5.7 Requests for Prior Responses	39
5.8 Late Responses	40
Section 6: Outgoing 314b Processing	41
6.1 Step-by-Step Guidelines for Outgoing 314(b) Requests	41
Section 7: Reporting Suspicious Activity.....	45
7.1 Overview	45
7.2 SAR Writing Procedures	46
7.3 SAR Log.....	46
7.4 Case File.....	46
7.5 Cross Relationship Check/Enterprise Wide Review	46
7.6 The 2+ SAR Review	47

Section 1: Introduction

This document describes automated alert monitoring activities conducted by the HSBC North America Holdings Inc. (HNAH) Anti-Money Laundering (AML) Compliance Monitoring Team, which conducts anti-money laundering monitoring for the correspondent banking and corporate accounts maintained by the Global Payments and Cash Management business.

PCM services HNAH customers that are either large corporate or correspondent banks. The transactions subject to monitoring are: U.S. dollar wire transfers, international cash letter deposits, Society for Worldwide Interbank Financial Telecommunication (SWIFT) checks, Automated Clearing House (ACH), and other miscellaneous products.

The AML Monitoring team reviews and monitors business activities and accounts on an on-going basis. Dedicated PCM AML Monitoring team resources are located in New York City, Delaware, and Vizag. Additionally, other professionals within the business have designated AML responsibilities and provide support to the AML Monitoring team.

These procedures guide AML Monitoring personnel in their task to help HNAH detect and deter money laundering, and where necessary, report it in a timely manner to the government. Additional support to AML Monitoring personnel is provided in the form of on-the-job learning and formal training sessions on investigation processes and standards. The calendar of training events and creation of training documents is governed by the AML Training organization.

These procedures address events that may ultimately be deemed suspicious, and thus must be reported through a Suspicious Activity Report (SAR). AML Monitoring personnel are also guided here regarding the legal requirement for HSBC Bank USA, National Association (HBUS) to file a SAR within 30 days of the time an event is deemed suspicious. Further, they are guided to complete the decision about whether the event is deemed suspicious within 60 days of the presentation of the event. The process for the timing of alert/case disposition and SAR filing are detailed at the beginning of each monitoring section.

Section 2: Roles and Responsibilities

2.1 Overview

The AML Monitoring team is responsible for identifying and reporting suspicious activity in a timely manner, as further defined in these procedures. The AML Monitoring team accomplishes this through reviewing, investigating and documenting the disposition of automated alerts in the Norkom system as well as performing specialized and targeted monitoring using manual methods. The team also conducts other monitoring as required. The roles and responsibilities of the team are provided below:

2.1.1 Director of PCM AML Monitoring

The Director of AML Monitoring is responsible for the overall oversight of the monitoring aspects of the AML program as well as coordinating activities among the alert clearing teams in the different locations. This includes developing and ensuring the implementation of the approved policies and procedures and serving as a resource for the Team Leads, Assistant Director of AML Monitoring, and Investigators in all of the AML Monitoring locations.

In addition, the Director of AML Monitoring or his/her designee coordinates with the OFAC team when the AML Monitoring team identifies alerts that have potential OFAC implications. The coordination is documented as part of the history in the alert recordkeeping. The Director of AML Monitoring is responsible for ensuring that the program remains current, is adequately staffed, maintains an appropriate level of quality in the handling of alerts, and provides guidance on the process for making and tracking the Requests For Information (RFIs) on PCM customers' customers or associated counterparties. This process includes assessing the appropriateness of decisions about the investigations in the event that there is an insufficient Request for Information (RFI) response or lack of RFI response.

2.1.2 Assistant Director of PCM AML Monitoring

The Assistant Director of AML Monitoring is responsible for the day-to-day operations of the AML program including implementing the approved policies and procedures and serving as a resource for the Team Leads in all of the PCM AML locations. The Assistant Director of AML Monitoring is also responsible for advising the Director of AML Monitoring regarding issues involving team production, quality issues and matters that could impact staffing decisions. The Assistant Director of AML Monitoring also tracks the RFIs on PCM customers' customers or associated counterparties and makes decisions about the investigations in the event that there is an insufficient RFI response or lack of RFI response. Assistant Directors of AML Monitoring may be assigned the role of Risk Triage Manager. In the Risk Triage Manager role an Assistant Director of AML Monitoring will also be responsible for the strategy, assignment, and distribution of alerts to the high, medium, and low risk teams, respectively.

2.2 PCM AML Monitoring & Investigations Team

The AML Monitoring & Investigations team is responsible for investigating and clearing alerts, including those that cannot be closed by the Global Servicing Center (GSC) and are escalated for further investigation (see the [Global Servicing Center \(GSC\) Team](#) section below).

2.2.1 Team Lead

Team Leads are responsible for managing the Investigators. This includes providing feedback and serving as a consultant for review decisions. The Team Lead is also responsible for advising and making decisions on escalated AML alerts, which includes alerts raised by Norkom and Cash Letter Monitoring. This includes escalating those alerts which may constitute potentially suspicious activity, thus beginning the 30-day SAR clock. The Team Lead, and/or his or her designee (for example, a Senior Investigator) is also responsible for maintaining production statistics and conducting scheduled and ad hoc training for the Investigators.

2.2.2 Senior Investigator

Senior Investigators, like Investigators, are responsible for reviewing alerts generated automatically by Norkom. In addition, Senior Investigators, based upon their experience, have the authority to make SAR decisions in the Team Lead's absence and may take on additional roles as designated by the Team Lead.

2.2.3 Investigator

Investigators are responsible for reviewing alerts generated by Norkom and escalating any transactions that are potentially suspicious to their Team Lead, pursuant to these procedures. Other AML Team Resources

2.2.4 BSA/AML Systems, Technology and Data Integrity

The BSA/AML Systems, Technology and Data Integrity function provides project and on-going production support for technology initiatives and AML Compliance-specific technologies that enable customer due diligence, transaction monitoring and filtering, workflow, case management, SAR filing, data analytics and MIS Reporting.

2.2.5 Alert Assignment Group (AAG)

The Alert Assignment Group is responsible for assigning alerts to individual Investigators and general reporting. The AAG deals directly with raw data from Norkom, groups alerts based on risk criteria, and assigns alerts to both GSC and PCM AML Investigators. The AAG produces ad hoc reporting when needed. The AAG reports to the Alert Assignment Manager.

2.2.6 Local Compliance Officer (LCO)

The LCO assists business lines with carrying out the business line's compliance responsibilities. The LCO coordinates information about the business with compliance functions and participates in AML-related customer discussions for their respective business lines. The LCO provides product and regulatory expertise to the business and serves as the interface between the BSA central program and the business.

2.2.7 Global Servicing Center (GSC) Team

The PCM AML Monitoring & Investigations (M&I) team is supported by staff in Vizag, India and Colombo, Sri Lanka. These components operate as discussed below. The Vizag and Colombo personnel are part of the Global Servicing Center (GSC) and carry out investigations to the point of dispositioning an alert as closed as non-suspicious. If that cannot be accomplished, the GSC immediately escalates the alert to PCM AML M&I counterparts for further consideration. GSC does not make the decision to file a SAR, nor is it made aware of SAR filing decisions or consideration, although it is trained to recognize suspicious typologies in order to properly carry out its escalation role in this regard.

2.2.8 Global Servicing Center (GSC) Team Lead

The GSC Team Leads are responsible for managing the GSC Investigators, including providing feedback and serving as consultants for review decisions. The GSC Team Leads are also responsible for maintaining production statistics and conducting scheduled and ad hoc training for the GSC Investigators. The GSC Team Leads escalate all alerts that cannot be closed as non-suspicious to PCM AML M&I Team Leads. The GSC Team Leads are responsible for providing reporting and production statistics to the Director of PCM AML Monitoring.

2.2.9 Global Servicing Center (GSC) Investigator

GSC Investigators are responsible for reviewing alerts generated by Norkom and escalating any transactions that are potentially suspicious to their Team Lead, pursuant to these procedures. GSC Investigators are not involved in the SAR decision-making or documentation process; although they are trained to recognize suspicious typologies in order to properly escalate alerts.

Section 3: AML Monitoring Processes in PCM

3.1 Overview

The primary business of PCM is to facilitate the movement of U.S. dollar-denominated transactions by financial institutions, major corporate clients and HNAH affiliates. The PCM business is both high-volume and high-risk, in light of historic abuses of correspondent banking by criminal elements. AML Monitoring is risk-based: the high volume of wire transactions are monitored automatically through the Norkom system and other transactions are monitored systematically through manual processes. This monitoring is keyed to identify risk drivers in the PCM transactions, and is intended in to help HSBC detect and report suspicious activity.

3.2 Reports and Systems Used for Monitoring

The Norkom system analyzes wire transaction data against scenarios that may indicate terrorist financing or money-laundering activity. An alert is generated automatically by the system whenever transaction data meets the scenario criteria and surpasses defined thresholds. The types of alerts generated are detailed in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

Norkom and its associated management tools track the inception and processing of alerts (whether automated or manual), including: the current status and history of alerts, the person (Investigator, Team Lead, etc.) who is currently tasked with considering the alert, the date and nature of an alert escalation or disposition, as well as if and when a SAR has been filed. Detailed information on Norkom functionality is provided throughout this document, and in Desk instructions in the PCM Norkom User Guide.

3.3 Automated Monitoring Program

3.3.1 Overview

Wire transfer payments constitute the majority of activity for accounts held by major corporations and correspondent banks. The Norkom system monitors wire transaction activity in an attempt to detect potential money-laundering activity. When transaction(s) satisfy defined scenarios and thresholds, Norkom generates alert(s). When these alerts are presented to the AML Monitoring team the team investigates them in accordance with the procedures set forth in this document. Desk instructions detailing the specific actions of the team in Norkom are included in the PCM Norkom User Guide. Refer to the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html for more information.

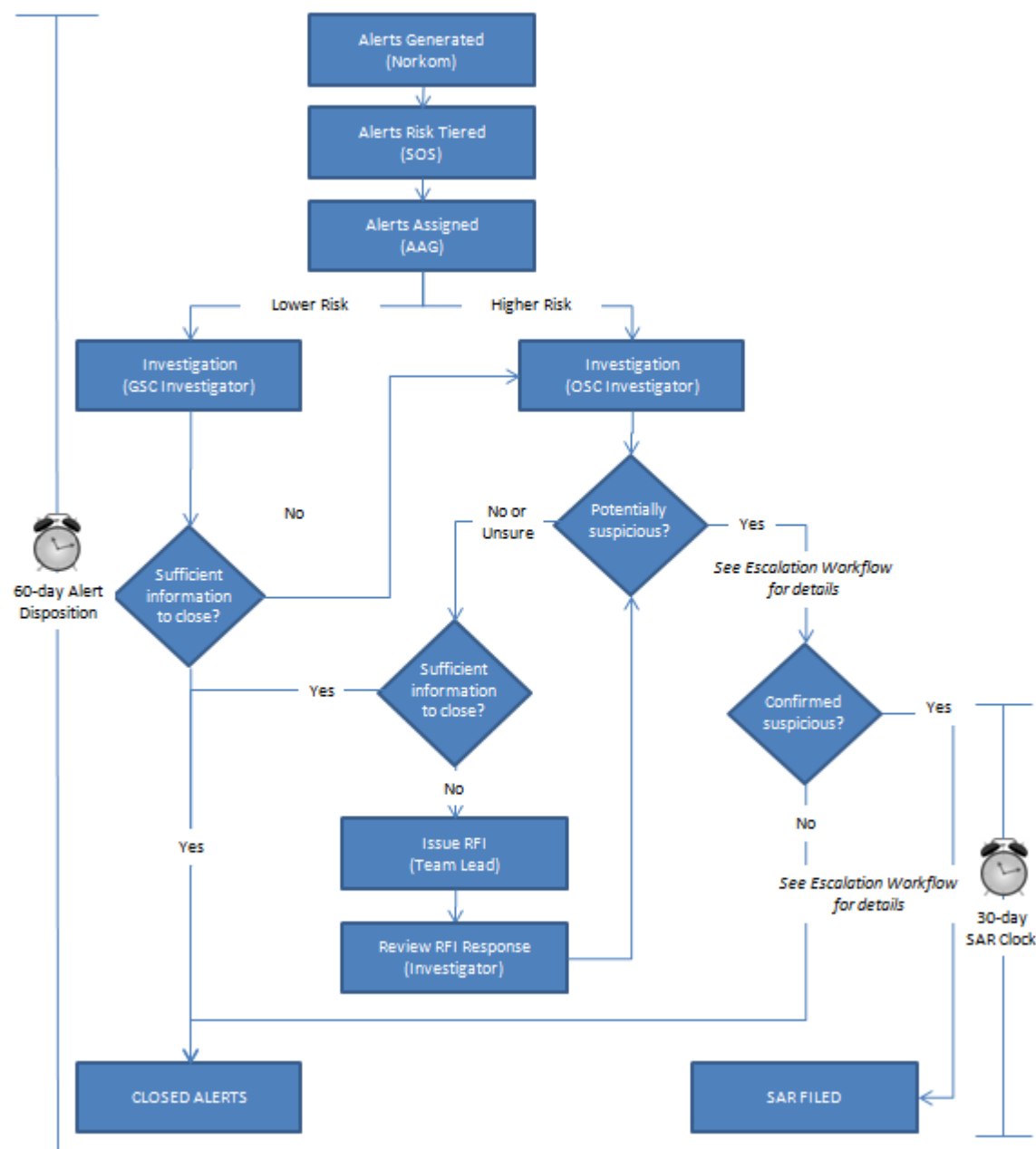
HSBC has designed controls for the alert review process to expedite its investigation and decisioning of alerts such that, absent delays in the acquisition of anticipated available information or other difficulties, the overall process is to be completed within 60 days from when the alert is generated. If the completion time for a review is expected to exceed 60 days (or an alert needs to be reopened after 60 days), Team Leaders or designated Senior Investigators of AML Monitoring must approve the exception. This is accomplished by the Team Leaders or designated Senior Investigators adding a comment to the alert in Norkom indicating the approval and rationale, so that such approval is auditable. Investigators and Team Leads are responsible for monitoring alert aging in Norkom to ensure that alerts that are nearing the 60-day deadline are handled appropriately. Step-by-step instructions for executing an alert aging report are detailed in the PCM Norkom User Guide.

During the course of investigations, HSBC complies with its obligation to file a SAR within 30 days of deeming any underlying activity to be suspicious. This determination is usually made by or in collaboration with a Team Lead, and is noted in Norkom immediately. There may be isolated incidents

where the Investigator identifies activity that he or she feels represents suspicious activity. In those situations, the Investigator immediately escalates the alert to the Team Lead or the appropriate Director of PCM AML Compliance for expedited decisioning. A diagram depicting the workflow for clearing alerts within 60 days is included in the following Automated Monitoring: 60-Day Alert Clearing Workflow diagram. A diagram depicting the workflow to reporting potentially suspicious alerts within 30 days is included in the [Escalations Overview](#) section below.

The AML Monitoring team is also responsible for performing 90 day supplemental SAR reviews for all PCM SARs filed. On a daily basis the AAG runs a report to identify all SARs filed 30 days prior. The AAG then creates manual alerts in Norkom and assigns them to PCM investigators whereupon the investigator has 60 days to conduct the review consistent with the 60-Day Alert Clearing Workflow and consistent with the investigation procedures described below.

3.3.1.1 Automated Monitoring: 60-Day Alert Clearing Workflow



3.3.2 Alert Assignment Methodology

The Director of AML Monitoring is responsible for setting risk tiering guidance for alerts generated by Norkom. Factors that the Director of PCM AML Monitoring may consider when assigning a risk tier include, but are not limited to:

- Affiliation with a Special Category Client (SCC) bank.
- Number of scenarios triggered in a case.
- Types of scenarios triggered.
- Jurisdictions involved.
- Number of transactions.

Alerts are generated by Norkom on an on-going basis. Different scenarios are run daily, weekly, and monthly, as detailed in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html. The Systems, Technology and Data Integrity team (STDI) team is responsible assessing the level of risk for each alert according to risk criteria defined by the Director of AML Monitoring.

Higher Risk alerts or cases are typically assigned to the AML Monitoring & Investigations (M&I) team. The following criteria result in an alert being labeled Higher Risk.

- Alerts involving Terrorist Financing keywords.
- Alerts involving an SCC entity in countries identified as High or Medium risk, as defined by the Bank's Compliance Advisory Group.
- Alerts involving an entity that appears on the SAR log.
- Alerts composed of multiple transactions. The number of transactions is subject to change based on management decisions.
- Cases composed of transactions alerting more than two rules.

Additional high risk categories are documented and defined by the Director of AML Monitoring.

Alerts that are not designated Higher Risk by the above criteria may be considered for assignment to the offshore Global Servicing Center (GSC). The following criteria have been established to minimize the potential for higher-risk alerts being processed offshore. Alerts assigned to the GSC typically meet the following conditions:

- The alert does not meet any Higher Risk criteria, defined above.
- The alert does not contain an entity with past closures resulting in SAR Pending and/or, SAR Filed statuses.
- There is no transaction limitation on the alerts the GSC is authorized to review.

All alerts designated by the STDI team as false positive (as defined in the [False Positives](#) section below) are considered eligible for assignment to the GSC.

Based on the above business rules, the STDI team analyzes and organizes alerts into High, Medium, and Low risk categories. The Alert Assignment Manager reviews the risk analysis and works in conjunction with the High, Medium, and Low Risk Triage Managers to determine alert assignment based on their knowledge of the individuals' experience, specialization, and availability.

The alert assignment decisions are communicated to the Alert Assignment Group. The Alert Assignment Group is responsible for assigning alerts to individual investigators in accordance with the decisions made by the Risk Triage Managers. Each month, alerts that are low in risk level are assigned to the GSC for research and investigation while a percentage of medium risk alerts are strictly researched and

prepared for onshore to investigate and disposition. Remaining medium and high risk level alerts, depending on the expertise available, are assigned amongst the PCM AML M&I teams onshore for investigation and disposition. The escalation process for the low risk alerts that the GSC cannot disposition as non-suspicious resides with a designated onshore Team Lead who immediately reassigns to an Investigator for further analysis and investigation. The Director of AML Monitoring provides the FIU Head with a record and analysis of such categories of alerts and the rationale for deploying them with GSC. On a quarterly basis, the Director of AML Monitoring provides a report to the FIU Head, identifying the performance and his or her evaluation of GSC regarding the risk tiers assigned to it.

Those cases which are determined to be higher risk are typically assigned to more experienced Investigators.

The AAG produces daily and weekly ad hoc aging reports from Norkom to aid in the timely review and completion of all alerts within the specified 60 day time frame.

3.3.2.1 Alert Assignment – Adverse Media

The AML Alert Assignment Team is responsible for reviewing to determine if the alert contains AML related adverse media. This team completes the following:

- Enters an Anti-Money Laundering Intelligence Database (AMLID) entry for all Adverse Media cases.
- If the alert is AML related, assigns the alert to one of the AML transaction monitoring team's queue for review and disposition.
- If the alert is non-AML related, closes the alert and notes a reference to the AMLID entry.

3.3.2.2 Alert Clustering

In instances where the normal alert clearing process is not effective or practical to identify suspicious and unusual activity, HSBC employs a modified alert clearing procedure. Alerts that meet this criterion include, but are not limited to, the same entity that has different naming conventions in the wire transactions (e.g., company X and company X, LLC), the entity's account number appears in the beginning of the entity's name obscuring the automated system's ability to make the connection (e.g., 3333company Y and company Y) or another combination of alerts where the Investigator or Team Lead is able to confirm that the entities are related and should be treated as a case as opposed to a single alert.

When an Investigator or Team Lead identifies a cluster of alerts, they search for all related transactions in Norkom to understand all alerts related to the entity. The alerts are assigned to a single Investigator, and the Investigator groups the alerts into a single case in Norkom. In the event that an Investigator is the first to recognize the occasion for a group alert approach, he or she raises the issue with their Team Lead seeking permission to move forward with creating and investigating a case.

3.3.2.3 General Alert Review Guidelines

The primary responsibility of the Investigator is to evaluate alerts generated by Norkom. Investigation includes analyzing underlying transactions, documenting research findings (including any supporting data from Google, RDC, World-Check, Lexis-Nexis, the HBUS Know Your Customer [KYC] database and previous alerts), and writing a case disposition explaining the reasons (suspicious or not) for the alert(s).

IMPORTANT: When logged into a second or concurrent session in Norkom, SAVE all inputs by closing all but one open session and validate that all information entered has been captured within the system. If concurrent login sessions cause loss of input, re-enter and validate the information to ensure the most current data is in the system.

NOTE: Under no circumstances should one user login and/or open concurrent sessions in more than one computer.

The following are general guidelines Investigators follow when reviewing alerts:

- **KYC and Schedule D:** When an HSBC USA customer appears as the focal entity in an alert, review the KYC and Schedule D information pertaining to that customer. In particular, determine whether the alerted activity is consistent with the following as outlined by the KYC and Schedule D profiles:
 - o Expected transaction volume and frequency
 - o Dollar amounts
 - o Types of bank products employed
 - o Types of bank services provided
- **Systems:** When conducting an investigation on a customer, the Investigator and/or Analyst review the appropriate KYC systems to obtain a full understanding of the customer and the extent of their relationship with HSBC.
Note: Appropriate KYC systems include the primary database pertaining to the line of business being monitored (e.g., CIF for PCM customers), as well as the databases for any other lines of business that the customer may do business with (e.g., GIB in the case of an embassy or embassy personnel or CMB in the case of domestic corporations or Private Banking in the instance of wealthy individuals).

The following table lists the KYC databases and their respective business lines:

Line Of Business	KYC Database
Asset Management (AMUS)	Refer to AMUS LCO
Business Banking (BB)	CIF Filenet
Commercial Real Estate (CRE)	CIF Image Silo
Consumer & Mortgage Lending (CML)	Century II LoanServ**
Corporate Trust & Loan Agency (CTLA)	CTLA Shared Drive Folders

Line Of Business	KYC Database
Global Banking & Markets (GBM) Includes Wealth Management & Retail Brokerage*; Amanah Finance; Asset & Structured Finance; Corporate Banking-Lending; Corporate Fixed Income Sales/Trading & Originations; Credit Derivatives Sales & Trading; Emerging Markets: Sales/Trading & Originations; Emerging Markets Derivatives; Equity Derivatives; Equities Sales/Trading & Originations ;Foreign (FX) Exchange & Foreign Exchange Options;Futures; Investment Banking Advisory; Interest Rate Derivatives (swaps & futures); Research; Precious Metals;Private Equity; Structured Credit Products;Structured Solutions; US Government & Agency Bonds –Trading	AIM GDR
Government & Institutional Banking (GIB)	CIF LN GIB Compliance LN GIB Questions
HSBC Credit Cards	CIF* *Will also reach out to Capital One Finance as needed
Insurance	RIS
Middle Market (MME)	CIF Filenet
Mortgage Corporation (MC)	CIF Century II LoanServ
Payments and Cash Management (PCM)	CIF (WDA account designation)
Private Bank (PB)	CIF – Domestic Private Banking eCRM – Global Private Banking Refer to PB LCO
Retail Banking & Wealth Management (RBWM)	CIF LN US SCC Compliance Mailbox

• **There may be cases in LoanServ for CML (dispensation on file) where KYC is not available due to the age of the origination.

For instances where the Investigator and/or Analyst believes that a subject of an investigation may be a Private Bank or AMUS customer, the Investigator should contact the respective Local Compliance Officer to request the relevant KYC information.

- **Documentation:** Save all research information, including RDC and World Check searches resulting in information associated with full or partial name matches, as .PDF files and attach it to the alert record in Norkom. If only a portion of a PDF file is needed for supporting documentation and it is not readily apparent which information is important, highlight the relevant part before saving the PDF file.
- **Language:** Translate all information used to close an alert into English; attach information discovered in a language other than English to the alert with both the original and translated document.
- **Identifying Parties:** In some instances, the true originator or beneficiary of a transaction may be indicated in the Originating Bank Instructions (OBI) or Beneficiary Bank Instructions (BBI) field of an alert. Therefore, the Reviewer reviews all fields to obtain the identity of the actual originator or beneficiary of a transaction. An RDC search on all names of all parties contained in a wire transfer is required, as detailed in the **Analyzing Parties** bullet below.
- **Analyzing Parties:** For all transactions sampled (see the [Counterparties](#) section below) analyze all names indicated in the transaction (originator, beneficiary, and any names in OBI or BBI fields) according to the procedure steps, regardless of the dollar amount of the payments.
- **General Search Methodology:** Investigations generally entail checking names, products and other information against private and public databases, as well as other queries. The PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html sets forth example search strings for Google and Lexis-Nexis; these details inform the Investigator regarding searches through other databases. The appendix also addresses how Investigators use the HBUS customer information files (KYC database), make queries to other segments of HBUS, and the process for initiating RFIs regarding HBUS customers or their respective customers.
- **Red Flags:** Patterns of activity that indicate potentially suspicious behavior (based on past experience) have been compiled in a list of Red Flags. This list, approved by the Director of PCM AML Monitoring, is detailed in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html. The most current version of the Red Flags list is posted on the HSBC intranet in the Red Flags section at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.
- **Stale Information:** If there is negative information found on one of the parties to the transactions, the negative information is generally considered stale and irrelevant after three years. However, if the negative information is deemed material to the alert at hand or has the potential to cause reputational damage to the Bank, this older negative media is considered. The Team Lead consults with the Director of PCM AML Compliance, and documents the judgment as part of the case narrative.
- **Money Service Business (MSB):** When a domestic MSB is determined to be a direct client (or the other party to a transaction), Investigators must consult the U.S. Department of the Treasury Financial Crimes Enforcement Network (FinCEN) MSB list (at http://www.fincen.gov/financial_institutions/msb/msbstateselector.html) to determine if the MSB is registered and document the determination of registration in the alert as well as the date of verification. In addition to standard investigation protocol, the MSB questionnaire located in the KYC file available to the Investigator must be reviewed to determine whether the activity noted is consistent with what was stated by the customer. If the customer file does not contain the MSB questionnaire or if the KYC information is inconsistent, the Investigator drafts a query to the customer, which the TMU then processes (see the [Request for Information \(RFI\)](#) section below) with the HBUS personnel responsible for that customer relationship. If the RFI response confirms that an update to the KYC file is required, the Investigator forwards that information to the appropriate Relationship Manager for action. Otherwise the case may be escalated in

accordance with the Dispositioning, Closing and Escalating Alerts, [Escalation/Collaboration](#) section below.

3.3.2.4 Related Alerts

When opening an alert, search for related alerts to see if other, new alerts exist for the same focal party. If so, link those alerts to the current alert to create a case. Related alerts may be linked across different risk triages. Investigators from the medium and low risk teams should confer with their Team Lead before linking to a higher risk related alert. Medium and low risk investigators should not link to any alert classified as a Supplemental SAR alert. If the related alert(s) are already assigned, they will not be in new status and it will not be possible to link the alert to the current case. In that case, speak with the assigned Investigator, and if that Investigator has not begun to work the alert(s), ask that Investigator to reassign the alert(s) to you. The steps for linking alerts follow:

1. Click into the alert.
2. Click the related alert option.
3. All alerts associated with the Focal entity appear, if they exist.
 - If they can be linked, the box is white.
 - If they cannot be linked, the box is gray.
4. Click the box to the left of each alert so a check mark appears.
5. Select the workflow action drop down.
 - Choose "link to existing case" or "link to new case", whichever is appropriate.

Then, all related alerts are in one case.

- If the pseudo-customer has different alerts under different scenarios, link them into one case. Ensure you address the different scenarios in the narrative and mitigate the risk accordingly.
- This relates to Monthly alerts. The process differs for daily and it not necessarily recommended for pseudo customer linking for daily alerts. In daily alerts, link by customer, for example, the Bank.

If there is a case with alerts for a focal entity, but the focal entity has more than one pseudo customer number (that shows in the Customer Number column and under customer number in the alert details screen), click into one alert for each pseudo customer number to locate all related alerts under each variation on the pseudo customer number. Each variation in the pseudo customer name generates a different pseudo customer number. For example ABC Group will be 123, A.B.C. Group will be 456 and A B C Group will be 789. If it is clear that these three different pseudo numbers are indeed the same pseudo customer, then click on one alert for each different pseudo customer number to link all related alerts per pseudo customer number into one case.

3.3.2.4.1 Linking Related Alerts

To identify more elaborate money movement patterns, the Bank may adopt the practice of linking single alerts that contain related entities together into a case. The Investigator may be more able to identify suspicious patterns of activity or gain a better understanding of the behavior as legitimate, as there may be common counterparties or jurisdictions.

When an Investigator identifies two or more Focal Entities that appear to be related (e.g., no or small variances in name spelling) and/or are related and the relationship is confirmed through research as parent/subsidiary or subsidiary companies with a common parent company, then link these alerts and create a Norkom case.

1. Analyze the alerts or alerted transactions to identify potential name matches. For those entities that appear to be related based on name matches, conduct research to confirm the validity of the initial assessment.

2. If research confirms the relationship of the focal entities, then combine the analysis of the entities together.
 - a. If there are multiple focal entities under investigation which are related, which did not have similar names in the initial assessment, then combine the analysis and link the corresponding alerts.
3. Document the focal entities' relationship (e.g. parent/subsidiary) and write the narrative that describes the ultimate parent company.
4. Identify the risk(s) associated with the locations of each of the related entities in their analysis and the flow of funds as it relates to the transactions.
5. In addition to the internet research to confirm the relationship of the entities, perform RDC searches (as described in the RDC Search Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html) on the parent company and the subsidiaries.
6. Select counterparties for research purposes utilizing the current Norkom sampling methodology.
7. If the transactions of the respective entities appear to be independent, reflect that in the narrative for the alert and treat the respective focal entities separately.
8. If one entity appears to be involved in reportable suspicious activity, then in the analysis address, as a separate matter, whether the related entity is also so involved. The fact that one of two related entities may become a suspect in a Suspicious Activity Report does not necessarily mean that both will.

Example: one alert is for Dell (Xiamen) LTD and another alert for Dell (HK) LTD. Work these separately, rather than linking them together for the following reason: Although the research for the parties will likely lead to the same website, the payment patterns and risk could vary from entity to entity, based upon location, and should be treated separately. What we see out of Dell (London) may differ significantly from Dell (Xiamen) LTD and we most likely will want to evaluate the activity on an entity to entity basis.

3.3.3 Initial Investigation

The goal of the initial assessment of an alert/case is to understand the underlying transactions that triggered the alert(s), the parties to the transactions, and the possible economic reason for such transactions.

All Investigators follow the same basic steps when performing an initial investigation of alerts; the only difference is in the dispositions that each group is able to assign to an alert/case.

First, use the address screen in the wire details (Wire/ACH tab) to find the address.

- If it is not listed, then use PEGA.
- If you do not have access to PEGA, then use the address in the Pseudo Customer details screen.

If using the pseudo customer details screen, conduct a Google search on the address listed to confirm the actual country, instead of relying on the country codes. Lexis Nexis can also be used for verification purposes.

3.3.3.1 Alert Details

Investigators review the details of alert(s) generated for a focal entity in Norkom, including the scenario(s) resulting in alert(s). The Investigator proceeds with research bearing in mind the terrorist financing or money laundering patterns consistent with those scenarios, as the type of alert(s) generated for a focal entity provides a starting point and perspective for the Investigator to conduct research.

The Investigator also reviews Norkom for any open or previously closed alerts including the originator or beneficiary to both leverage applicable research and gain a broader perspective on counterparties and transaction patterns. In no circumstance shall an Investigator rely on research that is aged beyond 12 months.

3.3.3.2 Transaction Analysis

Investigators analyze the transactions between the focal entity and counterparty(s) to identify the nature of the alerts and the patterns involved in the grouping of the transactions in the case. The objective of this task is to identify counterparty(s) to select for sampling as well as determine the economic purpose for the underlying transaction. Another objective of the transactional analysis is to understand the nature of the activity and to research patterns which may warrant further investigation when the transactions are viewed by date and/or sorted by alert type(s). For example, do the patterns of activity involve clustering of transactions in a short period of time that may not be indicative of commercial activity? Investigators may review transaction details according to timeframe, date, entity, amounts, etc. to ascertain any potentially suspicious behavior. This analysis is informed by the details provided in the alert.

When reviewing the transactions, the Investigator attempts to identify patterns that may indicate further assessment is needed to determine whether the activity is potentially suspicious. An illustrative, but not necessarily comprehensive, list of red flags indicating potentially suspicious behavior that should be considered for each of the various alert types is provided in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

3.3.3.3 Counterparties

An alert often includes multiple transactions, and there may be multiple alerts within a case, each one of which has multiple transactions; both the focal entity and select counterparties must be investigated.

The number of counterparties that must be investigated (sample size) is determined by the methodology shown in the Counterparty Sample Size table. This sample size holds for all investigations conducted by Investigators; however local Team Leads may require a larger sample size if they feel more strict monitoring is required.

Counterparty Sample Size Table

Scenario	# Counterparties (C)	Sample Size
A	$C \leq 10$	3
B	$10 < C \leq 20$	5
C	$20 < C \leq 40$	5 (from Scenario B) + 20% of Scenario C
D	$40 < C$	5 (from Scenario B) + 4 (from Scenario C) + 10% of Scenario D.

After a sample size has been determined, the Investigator must select specific counterparties to review. The sample:

- Must include counterparties from all the different alert types indicated
- Should skew towards the highest dollar value transactions.
- Should contain a different set of counterparties than previously selected, so as to give the broadest review possible of the activity.

If an Investigator finds that prior sampling has included 100% of the counterparties found in the current alert or case, the Investigator can validate the findings from the previous research if it was completed no earlier than 12 months prior.

The Investigator creates a spreadsheet that provides details for each transaction related to the alert/case. To determine the transactions that comprise the sample, the Investigator separates all transactions linked to the alert/case at hand into a new worksheet and sorts transactions by dollar value.

The Investigator considers the first X transactions (where X is the sample size determined in the previous step) of highest dollar values.

- If these X transactions include at least one of each type of alert scenario included in the alert, the specific counterparties are those in these top X transactions.
- If the top X transactions do not include all alert scenarios for the entity, then the Investigator replaces the lowest dollar transactions from the group X with the highest dollar value transaction of the alert type which is unrepresented in the initial sample.

As noted above, any counterparties in the sample X that have been investigated in the previous alerts found must be ignored and replaced with counterparties of similar characteristics, to ensure a broad and representative sample.

The case disposition must include a discussion of the sampling methodology employed by the Investigator and the reasons for choosing the specific counterparties included in the investigation.

3.3.3.4 Wire Instruction Details

Wire instruction details are found in the OBI and BBI fields of the transaction details and contain possible information on the nature of the wires or parties, including possible parties other than those found in the Originator and Beneficiary fields of Norkom. The OBI/BBI field may also have identifying information such as invoice numbers and delivery dates that support the economic purpose of the transactions.

Step-by-step instructions demonstrating how to locate alerts, initiate an investigation and review associated transaction details (including wire instructions) in Norkom are included in the PCM Norkom User Guide.

3.3.3.5 Case Research and Analysis

After preliminary data is gathered, the Investigator conducts background investigations on the focal entity's and counterparties' location, line of business, and any other identifying information that may be available through public domain searches or contained within the transaction details. The information obtained through research, or lack thereof, in combination with the preliminary transaction assessment, becomes the support for the case disposition. The goal of case research is to establish:

- The identity of the focal entity, including their nature of business.
- The identity the counterparty(s), including their nature of business.
- The relationship between the focal entity and counterparty(s).
- The economic purpose of the transactions.
- The presence of a reasonable basis for the transaction or pattern of transactions given the information on the focal entity and counterparty(s), including identity of, and relationship between, the parties.

The Investigator conducts research on the focal entity and counterparties selected per the sampling guidelines above to identify their existence, ascertain the nature of business and uncover potential derogatory information involving the entities. Tools to accomplish this include:

- Google
- RDC Search tool
- Lexis-Nexis
- HBUS's KYC database which includes Customer Due Diligence (CDD) and Extended Due Diligence (EDD).

As part of their review, Investigators must run an RDC and Google search for the Focal Entity and any counterparties. If a Google search fails to sufficiently identify the parties to the transactions, a search in Lexis must be conducted. "Sufficiently identify" is understood to mean that an Investigator could reasonably infer from the research found the identity of the entity/individual, the line of business (if applicable) and the purpose of transactions. Exception: when the Focal Entity and/or counterparty is a common name with no identifying information included in the transaction, e.g., address, the Investigator will not be required to run a Lexis search. The results of all research must be documented in the narrative. The Investigator may use other optional databases or search tools at their discretion. Examples of some other helpful research sources are listed in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

Job aids demonstrating how to conduct Google and KYC research are included in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

Information describing how to conduct RDC searches is in the RDC Search Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

Electronic versions (i.e., PDF files) of all search results must be attached to the alert/case in Norkom, per the narrative guidance in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

3.3.3.6 AMS Searches

If deemed useful to further enhance research or to understand transaction patterns, the Investigator may research alerted activity accessible through AMS. Note that AMS does not have a comprehensive set of standard and medium risk alerts. Norkom may be better situated to identifying un-alerted transactions. This does not impact QA.

For this first month of alerts in Norkom, you need not search AMS for a prior alert to determine the sampling methodology or whether a party was researched in the previous month. Select based upon the criteria in the procedures only. The next month, search for a prior alert in Norkom only. Review the Request for Information (RFI) spreadsheet if an RFI is appropriate in the current alert/case, and also search the internal watchlist for prior SARs. These searches address the major reason/concerns covered by the searches in AMS.

3.3.3.7 CB017 – Velocity (Wash Transactions)

This is a weekly scenario executed for the Originator/Beneficiary (pseudo-customer). It detects transactions where the dollar amount credited to the account is debited in full, plus or minus 10%, within a period of two weeks.

Review these transactions to determine if a legitimate purpose can be found for the rapid movement of funds.

3.3.3.7.1 Sampling

1. Because this scenario is designed to detect funds in/funds out over a particular period of time, include in the sample size an equal number of counter parties on the credit and debit side. If there is an insufficient number of counter parties on either the credit or debit side, meet the sample size by sampling counter parties from the opposite side.
2. The number of counter parties chosen conforms to the currently approved sampling methodology, with one exception: If the methodology calls for an odd number of counter parties to be sampled, round-up the sample size to the next round number.

Example: According to the sampling methodology, the correct sample size is five. Choose six counter parties, three on the credit side and three on the debit side. If only two counter parties appear on the credit side, select those two and four counter parties from the debit side.

3. Conduct full research (Internet, the RDC Search tool, and Lexis Nexis) on the focal entity and all sampled counter parties.
4. Include an analysis of the fund flow of ALL alerted transactions to determine whether the activity has a reasonable economic purpose.

Note: a preliminary review of the wash alerts showed potential bank-to-bank activity. If the Investigator determines the wash activity is true bank-to-bank activity, close the alert with the abbreviated b2b procedures.

3.3.3.7.2 Fed/Chips Routing False Positives

Before closing a CB017 as a Fed/Chips false positive, confirm the activity with the Team Lead.

1. Identify the customer is one of the following 14 banks :

- East-West Bank
- Comerica Bank
- City National Bank
- FNB Omaha
- Key Bank
- M&T Bank Buffalo
- PNC Bank
- Sovereign Bank
- SunTrust Bank
- Societe Generale
- TD Bank North
- Union Bank NA
- Wells Fargo Bank
- Bank of America
- JP Morgan Chase

2. Confirm the alert is composed of transactions that appear to be in sets of two transactions which are comprised of a debit and credit. More specifically:
 - The originator is the same originator in both transactions,
 - The beneficiary is the beneficiary in both transactions.
 - The transaction amounts are the same,
 - The transactions occur on the same date.

For example, Entity A appears to be sending Entity B the exact same transaction twice, however there is a different mode of payment (Fed wire and CHIPS) and the debit and while Entity A is the Originator in both transactions it has both a debit and credit.

3. Insert the false positive language using the narrative below.

“The wash trade alert was determined to be a false positive because the Bank’s customer is a Fedroute/Chips route client that automatically produces a second transaction when the initial instruction is received. The originator does not choose to initiate the second transaction which is a result of the customer being a Fedroute/Chips route client. In the absence of this second transaction, the alert would not have been generated and is therefore a false positive alert. Recommend close case as a false positive.”

Note – No internet research, Lexis Nexis, or RDC is required as the alert should not have triggered.

See Bank to bank guidance below in section 3.

3.3.3.8 Special Cases

The following comments may be used for CB017 Velocity (wash transactions), and in all other scenarios also.

Note: research focal entity; does not apply to focal entities in high risk jurisdictions.

3.3.3.8.1 Intra-company Transfer

“The transactions in this alert have been analyzed and identified as payment activity occurring between related companies (parent/subsidiary, brother/sister) in low or medium risk countries. A review of these transactions indicates this activity appears to be occurring in the normal course business between related parties and therefore does not pose significant risk for money laundering or terrorist financing. Using a risk-based approach, this alert is closed.”

Note: research focal entity. If not apparent from the names of the counter parties, attach research that establishes the familial link between the focal and the counter parties; not applicable to entities located in high risk jurisdictions.

3.3.3.8.2 Automated Payment Activity

“The transactions in this alert have been analyzed and a reasonable inference can be drawn that this is automated activity conducted by the focal entity located in a low or medium risk jurisdiction for the purposes of (payroll, etc.). A review of these transactions indicates this activity appears to be occurring in the normal course business and regular and ongoing basis and therefore does not pose significant risk for money laundering or terrorist financing. Using a risk-based approach, this alert is closed.”

Note – research focal entity; does not apply to focal entities in high risk jurisdictions.

3.3.3.8.3 Publicly Traded Guidance

If an Investigator identifies a focal entity that is an incorporated company with a primary listing on an exchange located in a standard risk country, as defined by HSBC’s applicable country risk rating policy, or is regulated by a financial regulator located in a standard risk country, then the Investigator may use a modified sampling method to review the alert as follows:

1. Select an appropriate sample size of counterparties to review, in accordance with these procedures, up to a maximum of 10 counterparties in the initial sample size.
2. Research those counterparties, in accordance with the procedures. However, the Investigator only runs a World-Check search on the focal entity and the counterparties selected. If the initial review does not reveal any negative information, as defined by these procedures, the Investigator may close the alert with no further review.
3. The Investigator must clearly state in the closing narrative the basis for use of the sampling methodology, to include the information located on the focal entity that allowed for use of this sampling methodology. If the research reveals negative information about counterparty, the Investigator escalates the alert to their Team Lead for further guidance. Possible further steps include increasing the sample size, sending an RFI to the customer, or escalating the activity as potentially suspicious.
4. After creating a case from related alerts (multiple alerts for a single party are assigned to one Investigator to create cases), attach all supporting documents to the case, not to each individual alert.
5. It is not required to attach a spreadsheet for alerts or cases that contain only one transaction. Attach the spreadsheet for all other situations, even one alert with more than one transaction, as there are benefits to that data being included in the alert.

3.3.3.8.4 Bank to Bank Activity

If the focal entity is determined to be a regulated financial institution, the counterparties appear to be regulated financial institutions, and there are no non-regulated financial institution third parties referenced in the OBI/BBi fields that could be potential originators or beneficiaries, it is acceptable to close the alert without additional internet research or Lexis Nexis. However the automatically generated RDC results that appear on the focal entity must be reviewed and mitigated accordingly. Specifically the investigator will proceed as follows:

- Determine that the focal entity is a regulated financial institution; for HSBC USA customers this requires a review of the KYC documentation on file; for non-HSBC USA customers, Internet searches must be conducted and documented.
- Review the names of the counterparties searching for well-known financial institutions and/or terms such as “bank, banco, banka, banque, securities” to determine whether they appear to be regulated financial institutions. If there is any doubt about whether counterparty is a regulated financial institution, the investigator must confirm and document that the entity is a regulated financial institution.
- Review the OBI/BBi fields to determine there is not a third party mentioned in the data that may be the ultimate originator or beneficiary of the transactions. If such a third party is identified that may be a potential originator or beneficiary, full research on the entity will apply and should be referenced in the narrative accordingly.
- If the focal entity is a HSBC USA customer, the investigator must confirm and document that the reviewed activity is consistent with the customer profile in the appropriate KYC database. If the activity is inconsistent with the profile, then the business line will be notified of the discrepancy.
- Review RDC results on the focal entity to determine if any adverse information would warrant further investigation; if the adverse information can be mitigated, document in the narrative accordingly, if the adverse media cannot be mitigated initially a full investigation is required.
- If all of the above steps have been taken, the bank to bank requirements have been met and there is no reason to conduct a full investigation, the following Bank to Bank closing narratives may be used respectively:

For focal entities that are HSBC USA customers with transactions that are consistent with the KYC profile:

Per review of the customer KYC, the focal entity has been determined to be a regulated financial institution. A further review of the counterparties to the transaction as well as the OBI and BBI fields has indicated no evidence that payments were made on behalf of non-regulated financial institutions [If OBI or BBI instructions support this claim mention them here]. Additionally, the KYC has also been reviewed and it was determined that the activity is consistent with the customer profile [Summarize the description of the expected activity]. Further, RDC results did not present any adverse findings that would warrant additional investigation; therefore, this alert/case is recommended for closure.

For focal entities that are HSBC USA customers with transactions that are inconsistent with the KYC profile but not deemed suspicious:

Per review of the customer KYC, the focal entity has been determined to be a regulated financial institution. A further review of the counterparties to the transaction as well as the OBI and BBI fields has indicated no evidence that payments were made on behalf of non-regulated financial institutions [If OBI or BBI instructions support this claim mention them here]. Additionally, the KYC has also been reviewed and it was determined that the activity is inconsistent with the customer profile however not deemed suspicious [Summarize the inconsistency and that a notification was sent to the business line]. Further, RDC results did not present any adverse findings that would warrant additional investigation; therefore, this alert/case is recommended for closure.

For focal entities that are not HSBC USA customers:

Per Internet research, the focal entity has been determined to be a regulated financial institution (see supporting documentation). A further review of the counterparties to the transaction as well as the OBI and BBI fields has indicated no evidence that payments were made on behalf of non-financial third parties [If OBI or BBI instructions support this claim mention them here]. Additionally, Internet research has also been reviewed and it was determined that the activity is consistent with the focal entities line of business. Further, RDC results did not present any adverse findings that would warrant additional investigation; therefore, this alert/case is recommended for closure.

Bank to bank guidance is not applicable to money services businesses (MSBs).

3.3.3.8.5 Mass Payment Activity

“The transactions in this alert have been analyzed and a reasonable inference can be drawn, based on (presence of account numbers, volume, dollar amount of transactions, etc.) that this activity represents (individuals paying a bill, making mortgage payments, etc.) to the focal entity located in a low or medium risk jurisdiction and therefore do not pose a significant risk or money laundering or terrorist financing. Using a risk-based approach, this alert is closed.”

3.3.4 Dispositioning, Closing, and Escalating Alerts

After completing the review of all relevant facts relating to an alert/case, the Investigator must determine if they have sufficient information to close the alert/case.

3.3.4.1 Close

If the results of investigation yield sufficient reasonable information to confirm the identity of the originator, beneficiary, economic purpose of the transaction, or some combination therein, the alert can be closed.

All alerts closed should be closed as Close GTB and NOT Close GIB. When closing an alert, be sure to select Alert Closed in the audit log. The default is Group Approved; the proper alert closure reason must be selected by the Investigator.

If the Investigator has a reasonable understanding of the identity or validity of the focal entity or counterparties researched and can also reasonably explain the economic purpose of the transactions in

the case, the Investigator can recommend the case be closed. The Investigator must address research found and any mitigating risk factors. Factors to consider when closing a case:

- Was the business purpose of the focal entity and counterparty confirmed through research?
- Were any potentially suspicious transaction patterns noted?
- Are the transactions explainable based on the identity and business purpose of the focal entity and counterparty?
- Are the transactions reasonable in terms of frequency, amount, and geography?
- Are the companies well-established or well-known, conducting transactions with other well-established and well-known companies?
- Was any negative information found?

If the answers to the above questions are clear and do not result in a concern about potentially suspicious activity, the Investigator attaches the supporting documentation and writes a narrative summarizing the results of the investigation in Norkom.

The Investigator selects an appropriate reason code in Norkom when an alert is closed. Available close reasons that can be used at this point, and their indications, include:

Norkom Reason for Close	Justification
Group Approved	An HSBC Group member provided sufficient information about its customer/transaction to support closing the alert.
Approved Per Client Info	The information provided by the HSBC client was sufficient to support closing the alert.
Previously Group Approved	The current alert contains activity or entities that are consistent with a prior alert. The prior alert contained sufficient information previously provided by the HSBC Group member about the customer and/or transaction to support closing the alert.
No SAR Decision Previously Made	The current alerted activity is consistent with a prior alert in which the Director of PCM AML Compliance (or designee) provided an explanation of why the activity was deemed not suspicious.
Previously Approved Per Client Info	The current alerted activity or entity is consistent with a previous alert that contained sufficient information, provided by the HSBC client, to support closing the alert.
Alert Closed	The results of investigation yield sufficient reasonable information to confirm the identity of the originator, beneficiary, economic purpose of the transaction, or some combination therein, to support closing the alert.
Case Closed	The results of the investigation yield sufficient reasonable information to confirm the identity of the originator(s), beneficiary(s), economic purpose of the transaction, or some combination therein, to support closing the case.

Step-by-step instructions demonstrating how to close an alert are included in the PCM Norkom User Guide.

Guidance for crafting a narrative is included in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

If a GSC Investigator cannot close the alert with the available data, they confer with their GSC Team Lead, complete a narrative, and escalate the alert to the PCM AML Monitoring & Investigations (M&I) team. The Investigator to whom the case is escalated reviews and confirms the narrative details, and proceeds with dispositioning. If the PCM AML M&I Investigator still cannot close the case after a discussion with the Team Lead or Senior Investigator (if the Team Lead is not available), the following options are available.

3.3.4.2 Customer On Watch

If, after consultation with their Team Leader, the GSC Investigator concludes, based upon relevant risk factors such as payment patterns, jurisdiction involved, dollar amounts, and the amount, if any, of publicly available information, that not enough information exists to conclude that the transactions appear unusual, but that the investigation has raised questions that require further transactional experience to be definitive, the GSC Investigator escalates Account On Watch (AOW) requests by sending an e-mail listing the entities that need to be placed/removed from watch to a specified/identified on-shore AML staff member (copying the GSC Team Lead), who then performs the required task.

The Originator and/or Beneficiary names are placed in status Customer On Watch for six months, depending on the facts of each case/alert. The Investigator attaches all of the information uncovered during the investigation and identifies in the narrative the reasoning for placing the parties on watch. During this period, the Director of PCM AML Monitoring, Risk Triage Manager or Team Lead may request that an RFI be sent, if one has not yet been initiated.

The customer's On Watch status is shown in the Alert Details section of any alerts that are generated for the entity during the period in which they are On Watch. This indicates to the Investigator that there was cause for concern about the customer's activity in the past that was not deemed serious enough to be formally suspicious; this information should cue the Investigator to pay special attention to the previously closed alerts while evaluating the current alert(s).

Do not place HSBC correspondent customers on watch. Typically it will be the customer's customer that is placed on watch, or other pseudo customers.

Step-by-step instructions showing how to place an alert On Watch are in the PCM Norkom User Guide.

3.3.4.3 Request for Information

If research and transactional analysis is not sufficient to disposition the case, the Investigator, in conjunction with the Team Lead, determines the feasibility of conducting a Request for Information (RFI) from the correspondent bank customer. The Investigator creates a case and closes the case with the pseudo-customer on watch. Refer to the [Customer On Watch](#) section above.

Details on the RFI process are included in the [Request for Information \(RFI\)](#) section below.

After an RFI response is received, the Investigator continues the investigation using the additional information provided by the customer through the RFI. This includes, at minimum, Google and World-Check searches on any new parties indicated in the information provided by the RFI. If the newly mentioned parties are not sufficiently identified via Google, the Investigator must run a Lexis search as well. The response from RFI is attached to the alert in Norkom.

The options for proceeding with the alert after RFI are the same as other alerts, as follows:

- The alert can be closed (if sufficient information is provided per the Close option above)
- The customer/party can be put On Watch (per the Customer On Watch option above)
- The alert can be deemed suspicious after discussion with the Team Lead and escalated for decisioning (per the Escalation/Collaboration option below).

Note that the RFI may be sent either prior to or after placing the alerted party On Watch.

If the RFI response is received after the alert is closed, the Investigator contacts the Team Lead or designated Senior Investigator for permission to reopen the alert. The Team Lead or Senior Investigator provides a proper written explanation in Norkom as to why the alert/case is being reopened. The Investigator updates the narrative and dispositions the alert based on the new information.

3.3.4.4 Escalation/Collaboration

If, at any point, an Investigator feels the focal entity and/or counterparty(s) exhibit potentially suspicious activity that warrants serious consideration as to suspiciousness, the Investigator discusses the case with the Team Lead within one business day. (There may be isolated incidents where the Investigator identifies activity that he or she feels represents suspicious activity. In those situations the Investigator immediately escalates the alert to the Team Lead or Director of PCM AML Compliance for expedited decisioning.) If the Team Lead agrees there is potentially suspicious activity, then in Norkom, the Investigator completes the following:

- Documents the research
- Uploads the supporting documentation
- Writes a narrative supporting the decision
- Chooses the workflow action Assign to Other Person with a reason of Refer to Monitoring Supervisor Team.

This moves the alert into the queue of the responsible Team Lead.

Step-by-step instructions demonstrating how to escalate the alert/case to the Team Lead are included in the PCM Norkom User Guide.

The Team Lead proceeds with appropriate escalation procedures, as discussed in the [Escalations](#) section below, within two business days of receiving the escalated alert/case.

In the event the Investigator and Team Lead disagree on the proper resolution of an alert or case, the Investigator escalates it directly to the Director of PCM AML Monitoring, and the Director makes the final decision as to the proper disposition of the alert/case.

3.3.4.5 False Positives

3.3.4.5.1 Multiple Country Beneficiary False Positives

If an Investigator identifies an alert that is considered a “false positive”, defined as where the activity identified is not the type of activity this rule intended to highlight, then the Investigator may close the alert without any further research on the parties. As an example, an alert for unusual routing involving multiple country beneficiary and the matter alerts because of information in the TRI (Tri-Party) field line that identifies a bank in a country different than the country of the originator bank and beneficiary bank. In such circumstances, the Investigator must identify the rule triggered, document why the alert is considered a false positive, and then may close this alert, without further review, as a false positive. Note that occasionally this alert occurs because of an abbreviation, such as “VE” which may match a country code (Venezuela, for example).

Recommended Closure Language:

When identified, draft a closure statement as follows:

This alert triggered on the "multiple country beneficiary" rule, however, a review of the alert revealed that the beneficiary and beneficiary bank, and originator and originating bank are located in the same country, the sending bank does not conflict with the originating bank, but the alert triggered on the TRI field. As a result, this alert triggered on information which does not identify the risk intended to alert and will be closed with no further research or action required.

3.3.4.5.2 Terrorist Financing False Positives

- Identify the word in the originator/beneficiary or OBI/BBI field that caused the alert. For example in a Terrorist Financing alert the word “commission” in the OBI/BBI field may be identified and caused the alert.
- Confirm the word that triggered the alert is not specifically mentioned in the rule. In the previous example, the word “commission” is not a keyword for the Terrorist Financing rule. Because a Terrorist Financing rule keyword is mission and this was a subset of the word **commission**, it is the reason for the rule alerting.
- Ensure that the Terrorist Financing rule is the only rule that was triggered by the alert/case and that the word commission was the only keyword. In the event that there is another rule or keyword, such as round dollars or “tours,” the alert/case cannot be considered a false positive because of the keyword error.
- Insert the false positive language similar to the text below. Where specified, insert the appropriate words and keywords.

The alert for [insert what alert(s)] was determined to be a false positive because of the word [insert the word] which was interpreted by the rule to be [insert the rule’s keyword]. In the absence of this word, the transaction(s) would not have alerted and the alert is therefore a false positive alert. Recommend close case as a false positive.

Note - No internet research, Lexis Nexis, RDC, or World Check is required as the alert should not have triggered.

3.3.4.5.3 Rule Ceiling Thresholds False Positives

False positives resulting from implementation of Rule Ceiling Thresholds

As part of a process of continuous improvement to the Norkom PCM transaction monitoring platform, the Bank is in the process of introducing rule ceiling thresholds for Sum of Transaction Amounts and Transaction Counts to scenarios CB004A, CB009A, CB010A, CB013, CB014, CB022A and CB022B.

The justification for ceiling thresholds is similar to the rationale for having floor thresholds. An alert monitoring system implements scenarios that look for patterns of transaction within the ranges of defined thresholds. The threshold tuning process uses an approach that targets a range that is believed to be productive in identifying suspicious activity, while eliminating upper and lower ranges where suspicious activity is rare, if present at all. The ceiling thresholds follow the Bank’s conclusion that alerts above the ceilings may be so low risk as ultimately to merit not being generated in the first place. However, until actual implementation of the ceiling thresholds in Norkom, the Bank is using a modified interim investigation procedures reflecting the low risk of these alerts. For the first month of alerts, applying these new thresholds (comprised of September 2011 transactions); the following approach will be utilized. As the results of the first and proceeding months is learned, the Bank may make further modifications to the investigation approach.

Investigators must manually separate alerts in the table as follows.

PCM Rule	Ceiling Amount Thresholds	Ceiling Count Thresholds
CB004A	< \$53,851,341	< 149
CB009A	< \$18,586,111	< 44
CB010A	< \$7,408,066	< 36

CB013	< \$7,075,681	< 49
	< \$13,357,664	< 82
	N/A	N/A
CB014	< \$4,169,492	< 22
	< \$1,577,916	< 21
	N/A	N/A
CB022A	< \$24,500,001	< 50
CB022B	< \$10,910,001	< 85

1. Confirm the alert arises due to one of rules in the table below, and no other rules.
2. Confirm that assignment tags the alert as not meeting either of the criteria in the thresholds, identified below, of the amended rules in the table above. More specifically, if either the dollar amount OR the transaction count is above the threshold, the alert would be deemed to be a false positive once the rule ceiling are implemented in Norkom.
3. If it is determined that the alert would not have triggered given the new thresholds (it is, in other words, above the newly established ceiling), the Investigator completes the following:
 - a. Conduct internet research and an RDC search on the Focal Entity in accordance with the PCM Monitoring Procedures.
 - b. Select a minimum of three counterparties, as outlined in the PCM Monitoring procedures and perform internet and RDC searches (not Lexis Nexis). The sample selection may be increased by the Investigator and/or Team Lead based on the results of the research in the initial sample.
4. As with the processing of any alert, if the Investigator detects characteristics that suggest potential suspicious activity, they perform further investigation, follow up, and/or escalation as in the standard investigation approach.
5. If the results of the alert research are inconclusive or reasonably identify a legitimate economic purpose, then the Investigator may close the alert using the following language.

The alert has been identified as above the thresholds of the alerting rules (insert rule) as now defined and revised. The research conducted on the Focal Entity and selected counterparties did not uncover potentially suspicious activity. Accordingly the alert is closed.

Note: No Lexis Nexis is required in the research for the above referenced alerts.

3.3.4.6 Nested Bank Alerts

The current nested bank rule, because it targets correspondent bank customers as opposed to Focal Entities, identifies those HSBC correspondent banking customers that may have affected transactions arising out of nested bank relationships. The rule logic does not target potentially suspicious activity that may be associated with nested banking activity, but rather collects numbers of such transaction for a given correspondent bank. These transactions are otherwise not necessarily related, so the alerting transactions reflect the level of activity at a correspondent bank, rather than potential suspicious activity of the originators and beneficiaries. The Bank will evaluate why some banks are involved in large numbers of these transactions, and may use this as a factor in fashioning due diligence for these banks.

Further, since the nested bank rule is triggered by the correspondent customer instead of a focal entity, the transactions triggering the alert do not necessarily even target the nested banks, but rather the correspondent banks that have the nested banks as customers.

In light of the above, the Investigator processes nested banking alerts as follows. Note that a transaction may alert under something other than the nested bank rule, in which case the investigation will proceed otherwise according to the other alerting factors.

The Investigator performs the following actions to determine if there are nested bank relationships:

1. Identify the customer triggering the alert, listed in the customer information field in Norkom.
2. Export the transactions to an Excel spreadsheet using the Norkom Transaction Look-up Tool.
3. Place “auto filters” on the spreadsheet.
4. Filter the spreadsheet first by the originator bank field, and identify those transactions where the customer is the originator bank. Only focus on these selected transactions.
5. Create a custom sort on the originator field searching for terms such as bank, banco and others to identify potential nesting situations. If there is a different bank in the originator field, review the beneficiary field. If the beneficiary is also a bank, then it is not a nesting situation.
6. Repeat steps 4 and 5 for the beneficiary bank and beneficiary respectively.
7. If the Investigator identifies a potential nesting situation, escalate the situation (copy the nested transactions into a spreadsheet) to the Team Lead and insert a narrative similar to this:

The nested bank rule did identify potentially nested bank relationships at the correspondent customer. The matter will be escalated for further investigation. The rule did not identify anything suspicious in the transactions. Accordingly the alert is closed.

8. If there is nothing identified, insert a narrative similar to this:

The nested bank rule did not identify any potentially nested bank relationships at the correspondent customer. Accordingly the alert is closed.

9. If the Team Lead agrees with the Investigator that there is a possible nesting situation, the Team Lead forwards the case to the SAR Writing Team for review.

Note: No internet research, Lexis Nexis or RDC search is required for the alerts.

3.3.4.7 HSBC Bank USA Investigation Department as the Originator Bank

In regards to an alert that has the HSBC BANK USA Investigation Department as the originator bank: Address Manager Mcc - Christiana Road, New Castle DE 19702, account #001940309.

Summary/Reason: This alert is part of an operations investigation and relates to an original wire transfer with a different transaction number (MM# in Norkom). Some of the main reasons an operations investigation could be created are:

- Return unable to apply
- Recall of funds
- Amendments
- Other scenarios that do not allow the wire transfer to post correctly.

As a result, HBUS Investigations would have had to be a part of the wire transfer details, the majority of the time, as the originating bank. The account that will be listed is 001940309.

Suggested language to close alerts:

Based on HSBC BANK USA Investigation’s involvement in this transaction, it is confirmed

that this wire is part of an on-going or closed case reviewed by our Wire Transfers Operations Group. This wire relates to the original transaction that came into the bank with a different payment reference number. Based on our risk-based approach, we recommend closing the alert with no further actions. This alert triggered on a wire with partial information and could potentially be a duplicate of an alert created on the original transaction. Finally, please note that the original wire may not generate an alert as this transaction may not have triggered based on current monitor thresholds.

3.3.4.8 HSBC Bank USA ACH Alert Transactions

A Norkom alert that is generated as transaction type **Corporate Trade Payment/Cash Disbursement** or **ACH Transaction** is considered an ACH transaction. The Investigator completes the following for these transactions:

1. Research the information in the payment details field for additional parties. ACH transactions do not contain OBI or BBI fields.
2. Document the narrative with the type of ACH transaction based on the Standard Entry Class (SEC) per National Automated Clearinghouse Association (NACHA) rules as noted in the below sample narrative: The transaction type details are in the payment field immediately after SEC; the code values are:
 - ANN (Annuity)
 - ARC (Accounts Receivable Entry)
 - BOC (Back Office Conversion Entry)
 - BUS (Business/Commercial),
 - CTX (Corporate Trade Exchange)
 - DEP (Deposit)
 - LOA (Loan)
 - MIS (Miscellaneous)
 - MOR (Mortgage)
 - MTE (Machine Transfer Entry)
 - PEN (Pension)
 - POP (Point of Purchase Entry)
 - POS (Point of Sale Entry)
 - RCK (Re-presented Check Entry)
 - RLS (Rent/Lease)
 - SAL (Salary/Payroll)
 - SHR (Shared Network Transaction)
 - TAX (Tax)
 - TEL (Telephone-Initiated Transaction)
 - WEB (Internet-Initiated Entry)

Sample Narrative

Alert ----- tripped due to detection scenario ----- . The activity in this alert was reviewed and confirmed to be an ACH transaction related to <refer to first three characters of payment detail field, e.g., LOA>- A loan payment.

Internet research on ORG/BENE and payment details field revealed-----.

Conclusion:

The transactions in this alert have been analyzed and identified as ACH transactions.

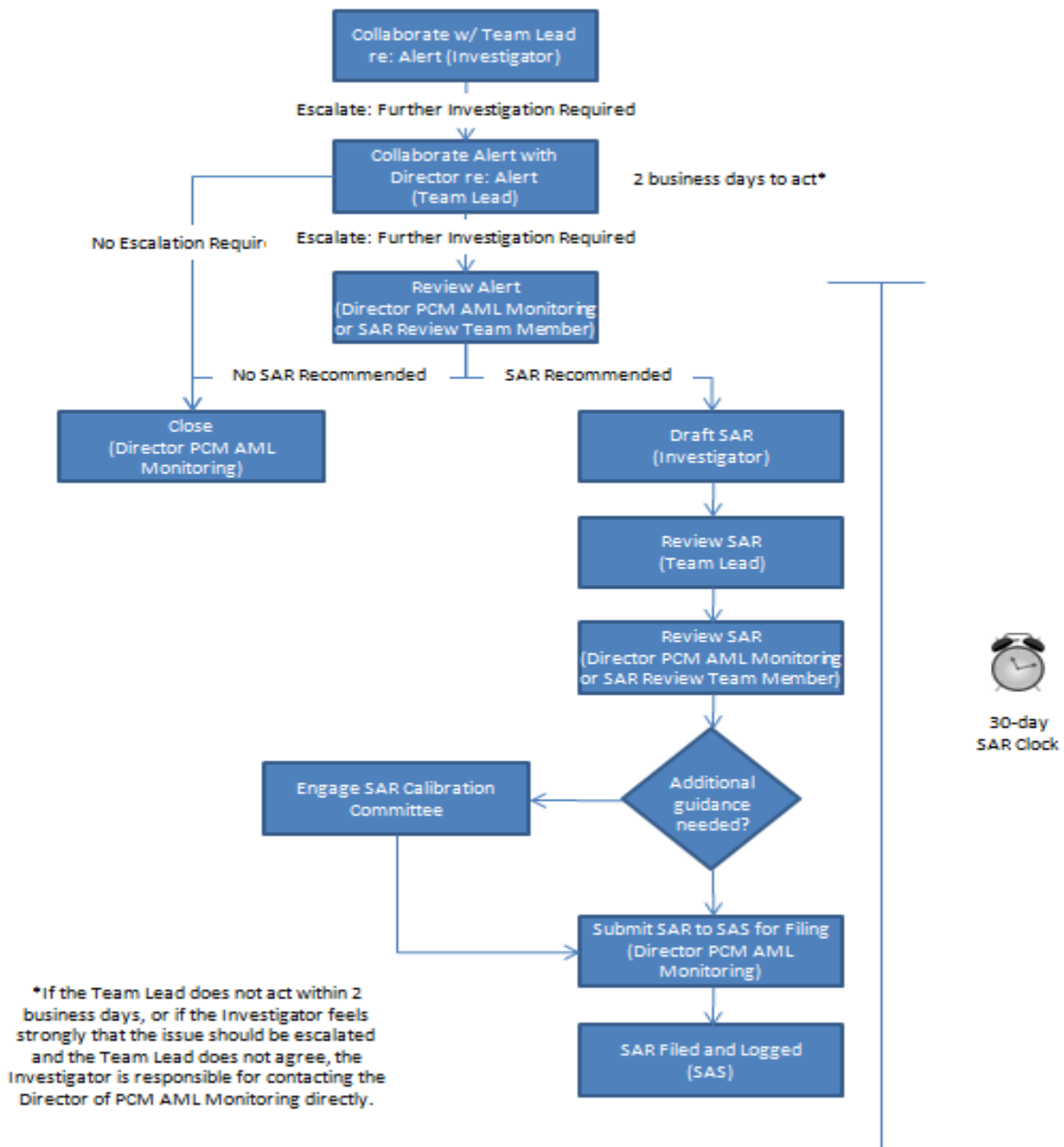
3. Using the risk based approach, close this alert based on the following findings; Internet research/Lexis Nexis, and Regulatory DataCorp (RDC) search conducted on:
 - Originator
 - Beneficiary
 - Any entities listed on the payment details that did not yield any negative news

NOTE Most ACH transactions are originated by HSBC Bank USA NA clients'; in that case, HSBC Bank USA NA is the originating bank.

Section 4: Escalations

4.1 Overview

HBUS is required by law to file a Suspicious Activity Report (SAR) within 30 days of the time an alert or case is deemed suspicious. The 30-day count begins at the time that the Team Lead escalates an alert/case to the SAR Writing Team or the appropriate Assistant Director of PCM AML Monitoring, as depicted in the following diagram.



4.2 Potential SAR Suspect Hit Alerts

The process to identify those alerts with potential SAR suspects from Prior PCM SAR filings is to run a keyword search comprised of keywords from the prior SAR suspects. Because name matching is an imperfect process, there many alerts that have keyword matches which turn out not to have the SAR suspect that generated the keyword. The Investigator follows the below process to investigate these types of alerts. This process addresses both true matches and false matches.

1. Compare the potential name match in the alert to that of the SAR suspect
 - If there is no match, investigate the alert for the rule which was triggered.
 - In the narrative, indicate the potential match and why it was deemed not to be a positive match.
 - Note that unless the match is in effect a false positive because of word inclusion (such as a match for the SAR suspect “John Richard” to a focal entity “Felicia Richardson”), the SAR itself will be consulted before going to the next step.
2. If the potential name match is a true match, read the SAR to understand the nature of the prior suspicious activity. Sometimes, reading the SAR will clarify that the match is not correct, after all.
3. Determine if the current activity is consistent with the prior SAR’ed activity. Choose a sample in accordance with the Payments and Cash Management Transaction Monitoring Procedures. At a minimum, include the prior counterparty research in the current sample selection.
4. If the activity is not consistent or the Investigator concludes that the prior SAR is no longer suspicious based on new information or another reason, discuss the matter with the Team Lead. If there is agreement, articulate the reason for closure in the narrative. The Team Lead escalates the issue for potential amendment of the prior filed SAR, as appropriate.
5. If the Investigator determines that the activity is continued to be suspicious, he/she will escalate the case following the Payments and Cash Management Transaction Monitoring Procedures.

4.3 Convert Alerts to Cases for Escalation Purposes

For the RFI process, it is important to convert an alert to a case for any escalation purposes (for example, those in the RFI, Disclosure/SAR, CMR/LCO buckets).

1. Convert the particular alert to a case (applies whether it is one alert or more than one).
2. E-mail questions from Lotus Notes to your Team Leader to approve the questions and the RFI format.
3. After the questions are approved, send an email via Lotus Notes (until such time as encryption is available in Norkom) to the TMU in Delaware (US AML Compliance).
4. Change the case status to Pending.

If the RFI results in a Suspicious Activity Report (SAR), recommend Disclosures (SAR) only via a case and not an alert.

4.4 Escalation Procedures

If, based on the information uncovered during the investigation, the Team Lead, with input from the Investigator, concludes that the alert (and potentially other activity) is suspicious; the Investigator escalates the alert to the Team Lead in Norkom (if applicable) or via e-mail.

Requirements for the SAR recommendation narrative, and a suggested template, are detailed in the Guidance for SAR Recommendation Narrative in the PCM Transaction Monitoring Job Aids and Guides Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html.

When an Investigator escalates an alert/case to the Team Lead, the Team Lead consults with the appropriate Assistant Director of PCM AML Monitoring within two business days about the issue. In some cases, the Team Lead may have been approved as a PCM SAR decision-making delegate and therefore can make a SAR/No SAR decision on certain types of cases. The Bank has 30 days from the date on which the Team Lead escalates the alert to the Director of PCM AML Monitoring or a PCM SAR decision-making delegate or the SAR Writing team in which to file the SAR or render a No SAR decision.

Cases involving a subpoena, terrorist financing, or OFAC match must be escalated to the Director of PCM AML Monitoring immediately for decisioning and review and cannot be sent to a PCM SAR decision-making delegate for review.

If the Team Lead fails to contact the appropriate Assistant Director of PCM AML Monitoring or a member of the PCM SAR Review Team within two business days, or deems that the alert/case does not require further escalation and the Investigator disagrees, the Investigator is responsible for contacting the appropriate Assistant Director of PCM AML Monitoring or a PCM SAR decision-making delegate directly to discuss the issue. If the SAR is related to an OFAC entity, the Assistant Director of PCM AML contacts the OFAC Officer as soon as possible to discuss the investigation.

Step-by-step instructions demonstrating how to escalate an alert are included in the PCM Norkom User Guide.

An Assistant Director of PCM AML Compliance or a PCM SAR decision-making delegate (within its prescribed parameters) is responsible for reviewing and actioning escalated alerts within two business days. If the Assistant Director of PCM AML Monitoring or a PCM SAR decision-making delegate determines that the activity is indeed suspicious and a SAR is warranted, he or she closes the alert in Norkom with the reason “SAR Pending”.

If the Assistant Director of PCM AML Monitoring or a PCM SAR decision-making delegate determines that the activity is not suspicious, she or he closes the alert in Norkom with the reason “No SAR” and updates the narrative appropriately.

To assist the Assistant Directors of PCM AML Monitoring, the SAR Calibration Committee meets on a weekly basis to provide context to determine whether specific events should be part of a SAR. This information is shared with the PCM AML Monitoring & Investigations team during team meetings and education sessions.

Step-by-step instructions demonstrating how to close an alert, either in SAR Pending or No SAR status, are included in the PCM Norkom User Guide.

Instructions for writing and submitting a SAR are discussed in the [Reporting Suspicious Activity](#) section below.

Section 5: Requests for Information (RFIs)

5.1 Overview

An AML Investigations Officer (Investigations Officer) may be unable to mitigate the risk a particular entity poses in an alert through research only. A Request for Information (RFI) is a tool which may be used to mitigate risk by contacting an HBUS affiliate or a correspondent customer. An RFI contains information related to the focal entity and counterparty(s), relevant transactions, and questions designed to yield an effective response from an HBUS affiliate or correspondent.

An RFI is considered upon completion of all required alert research which yields insufficient information to mitigate risk (see the [AML Monitoring Processes in PCM](#) section above for research guidelines). The Investigations Officer reviews the alert with the Team Lead/Designee. If the Team Lead/Designee agrees with the analysis of the Investigations Officer, the Investigations Officer is directed to initiate the RFI process. An alert must be converted to a case by the Investigations Officer before an RFI is sent by the Targeted Monitoring Unit (TMU).

5.2 RFI Request Types

5.2.1 Initial Request

Upon Team Lead approval for an RFI to be sent (after a review of a case in Norkom); the Investigations Officer performs the following:

1. Create a case in Norkom.
2. Ensure that the narrative must reflect that an RFI has been submitted to the TMU. When the RFI is sent by the Targeted Monitoring Unit a copy of the RFI must be attached by the Investigations Officer as a PDF to the Norkom case within two (2) business days of this event. The case should then be closed as “Pseudo-Customer On Watch” pending the RFI response. Use the RFI template located at: J:\Compliance\Daily RFI Spreadsheet Folder\RFI Template.
3. Select the template questions based on the scenario dictated by the results of research and the transactions; additional questions are added when necessary. Keep the template intact; do not remove or alter standard questions.
4. Insert all relevant information into each bracketed prompt.
5. Transfer the text from the document into a Lotus Notes email.
6. Save a transaction spreadsheet (with risk-rating fields removed) and attach it to the bottom of the email following the RFI text.
7. Within two business days of Team Lead approval for an RFI, send the RFI draft to the Team Lead/Designee for review.
8. When the Team Lead/Designee approves the RFI, send the RFI to the TMU at us.aml.compliance@us.hsbc.com, copying the Team Lead as acknowledgement/approval.
 - For a single RFI, use a subject line that mirrors the following naming convention:
 - o **Request for Information – [Correspondent’s Full Name] – [Case ID]**
 - If multiple RFIs are required for the same case, use subject lines that mirror the following naming convention:
 - o **Request for Information – [Correspondent’s Full Name] – [Case ID] A, B, C, etc. for each successive RFI.**

5.2.2 Follow-Up Request

A Follow-Up RFI may be utilized by an Investigator if an incomplete RFI response is received, or raises additional questions requiring clarification to mitigate risk. A Follow-Up includes additional questions which refer to the original response, as well as a copy of the prior response.

The Follow-Up RFI process mirrors that of the Initial Request. The Investigations Officer performs the following:

1. Review the initial response with the Team Lead/Designee.
2. If the Team Lead/Designee agrees with the Investigations Officer, draft the Follow-Up RFI within two (2) business days of that agreement.
3. Upon completion, send the Follow-Up RFI draft to the Team Lead/designee for review.
4. When the Team Lead/Designee approves the Follow-Up RFI, send the Follow-Up RFI to the Targeted Monitoring Unit at us.aml.compliance@us.hsbc.com, copying the Team Lead as acknowledgement/approval.
 - Use a subject line that mirrors the following naming convention:
 - o **Request for Information – [Correspondent’s Full Name] – [Case ID] Follow-Up**
5. Update the case narrative in Norkom to reflect that a Follow-Up RFI has been submitted to the Targeted Monitoring Unit.
6. When the Follow-Up RFI is distributed by TMU, attach a copy of the Follow-Up RFI as a PDF to the Norkom case within two (2) business days.

5.2.3 Supplemental RFI

A Supplemental RFI may be utilized if a response was previously received for a given focal entity in another case, but new activity has emerged that cannot be explained by the prior response. A Supplemental RFI includes questions which seek to confirm the details provided in the previous RFI response and an explanation of any new activity. A Supplemental RFI must also include a copy of the original response.

The Supplemental RFI process mirrors that of the Initial Request RFI. The Investigations Officer performs the following:

1. Reviews the prior response with the Team Lead/Designee. If the Team Lead/Designee agrees with the Investigations Officer, continue.
2. Draft the Supplemental RFI within two (2) business days of that agreement.
3. Select the questions included in the template for a supplemental inquiry, and include any additional counterparty or additional questions as necessary.
4. Upon completion, send the Supplemental RFI to the Team Lead/Designee for review.
5. When the Team Lead/Designee approves the RFI, send the Supplemental RFI to the Targeted Monitoring Unit at us.aml.compliance@us.hsbc.com, copying the Team Lead as acknowledgement/approval.
 - Use a subject line that mirrors the following naming convention:
 - o **Request for Information – [Correspondent’s Full Name] - [Case ID] Previous Inquiry**
6. Convert to a case in Norkom.
7. Ensure that the narrative reflects that a Supplemental RFI has been submitted to TMU.

8. When the RFI is distributed by TMU, attach a copy of the Supplemental RFI as a PDF to the Norkom case within two (2) business days.
9. Close the case as “Pseudo-Customer On Watch” pending the RFI response.

5.3 RFI Responses

5.3.1 General Response Handling

When the response is received directly from the correspondent or via the TMU, the Investigation Officer:

1. Saves the response as an Adobe PDF and attaches it to Norkom within two (2) business days of receipt.
2. Updates the narrative to reflect the receipt of the RFI.

5.3.2 Unsatisfactory RFI Responses

When an unsatisfactory response is received (e.g., HBUS client closed the pseudo customer’s account), the Team Lead forwards to his/her manager a copy of the response and includes short notes about the reason that an entity may need to be added to the HBUS Payment Filter. After the manager agrees, the response and the reasons for the filter recommendation are escalated to the Director of Monitoring for final approval.

5.4 Third-Party Research

The Investigations Officer researches and documents any response containing the names of third parties as per the guidelines of the PCM AML Monitoring Procedures. If the third-party research raises additional questions or risk which cannot be mitigated through research, a Follow-Up RFI may be sent (refer to the [Follow-Up Request](#) section above).

5.5 TMU

5.5.1 Correspondent Communication

All communication with HBUS correspondents is managed directly by the TMU through the us.aml.compliance@us.hsbc.com mailbox. Investigations Officers, Senior Investigations Officers, and Team Leads must refrain from communicating directly with correspondent compliance departments. The TMU forwards correspondence from Investigations Officers, Senior Investigations Officers, and Team Leads to the HBUS correspondent.

5.5.2 RFI Review, Distribution, and Documentation

The Targeted Monitoring Unit reviews each submitted RFI within two (2) business days of receipt from the Investigations Officer.

1. The TMU reviews RFI drafts to ensure uniformity and conformance to the approved template.
2. The TMU returns any RFI that does not adhere to the approved template to the Investigations Officer and Team Lead for revision.
3. The Investigations Officer and Team Lead submit revisions in a “fresh” email, which eliminates any mark-up and/or history.
4. On a daily basis, the TMU distributes each approved RFI through the RFI mailbox (us.aml.compliance@us.hsbc.com) and populates an RFI tracking log.

5. The TMU compiles an RFI tracking spreadsheet for Investigations Officers on a daily basis.
 - The RFI tracking spreadsheet is a tool for Investigations Officers to determine if an RFI or Final Request has been sent or received for a given Focal Entity.
 - The file is located at the following path: J:\Compliance\Daily RFI Spreadsheet Folder
Daily RFI Spreadsheet.

5.5.3 Response Distribution

All responses are sent directly from the correspondent client to the Targeted Monitoring Unit and us.aml.compliance@us.hsb.com. If an Investigations Officer and Team Lead are not copied on a response, the TMU forwards the response to the respective Investigations Officer and Team Lead. For additional information related to the receipt of a response, refer to the [RFI Responses](#) section above.

5.5.4 Final Requests

If a response to an outstanding RFI is not received within the 10-business day window, the TMU sends a Final Request to the HBUS Correspondent/Affiliate. The Final Request e-mail requests the correspondent provide a response within five (5) business days. The Final Request copies the Investigations Officer and Team Lead, which serves as a notification that the Final Request was sent. The Investigations Officer re-examines the case if a response is not received within the five (5)-day window, and determines next steps.

5.5.5 Reporting

The Targeted Monitoring Unit prepares a report of RFI activity for the PCM AML Committee on a monthly basis. The following are examples of the reporting topics which may be useful in detecting patterns:

- RFIs Sent Monthly
- RFI Requests by PCM customer
- Response rates of PCM customers
- RFI requests by Investigations Officers
- Response quality (based on Investigations Officers' decisions and RFI tracking log)

5.6 Duplicate Requests

In the event that two (2) or more Investigations Officers process an alert or case involving the same focal entity, only the RFI which was sent to the TMU first is distributed, while the duplicate is returned to the owner along with the case number of the sent RFI for reference.

If a response does not address the concerns of both Investigations Officers and Team Leads, the respective Team Leads must consult with one another to arrive at a solution, which includes the possibility of sending a Follow-Up or Previous Inquiry RFI (see the [Follow-Up Request](#) and [Supplemental RFI](#) sections above).

5.7 Requests for Prior Responses

If an RFI response is not attached to Norkom, the Investigations Officer must attempt to contact the prior Investigations Officer who sent the earlier RFI.

If the Investigations Officer is unable to successfully establish contact, the TMU may be contacted to request the RFI response. Conversely, if an Investigations Officer discovers that an entity was included in a previous RFI for the HSBC Alert Management System (AMS), Lookback case, or other

investigation, a request may be sent directly to the TMU. All requests for copies of a prior RFI response must be sent to the TMU at us.aml.compliance@us.hsbc.com. The TMU provides the Investigations Officer with a copy of the RFI response within two (2) business days of receipt.

5.8 Late Responses

If a response is received for an alert that is more than 60 days old (e.g., date received is more than 60-days from the date the alert was uploaded into Norkom), the Team Lead/Designee must approve an exception if the case needs to be reopened due to the nature of the RFI response received.

The exception is approved by the Team Lead/Designee adding a comment to the Norkom alert/case which indicates the rationale for the exception and subsequent approval.

Note: The Investigations Officer and Team Lead are responsible for monitoring alerts aging in Norkom and ensuring alerts nearing the 60-day deadline are handled appropriately.

Section 6: Outgoing 314b Processing

If an Investigator has been unable to obtain a response from a HSBC Bank NA (HBUS) correspondent customer regarding an RFI, then after conferring with and obtaining approval from their Team Leader (TL), they may use a 314(b) as another option.

Section 314(b) of the USA PATRIOT Act permits financial institutions, upon providing notice to the United States Department of the Treasury, to share information with one another to identify and report to the federal government activities that may involve money laundering or terrorist activity. Each participating institution must register with the U.S. Department of the Treasury Financial Crimes Enforcement Network (FinCEN) and designate a Point of Contact (POC) who is responsible for monitoring incoming and outgoing requests and overseeing the responses to those inquiries. The POC is designated by a Senior Manager of the Specialized Anti-Money Laundering Services (SAS) group. Participation is voluntary, although most major U.S. institutions participate. Even after agreeing to participate, an institution is not required to respond to any particular inquiry.

Note- HBUS's Fed Route Customers request we adhere to U.S. laws and require a 314(b). Our Fed route customers are:

- East-West Bank
- Comerica Bank
- City National Bank, Los Angeles
- FNB Omaha
- Key Bank
- M&T Bank Buffalo
- PNC Bank
- Sovereign Bank
- SunTrust Bank
- Societe Generale, NY
- TD Bank North
- Union Bank NA
- Wells Fargo Bank
- Bank of America.

6.1 Step-by-Step Guidelines for Outgoing 314(b) Requests

1. The TL prepares a message to the SAS POC (addressed to the SAS POC mailbox: ICRO Alerts@HSBC02) and copies the RFI manager, requesting permission to send the 314b to include:
 - Concerns/reason
 - Example of payments in question
 - Sample of questions to be presented to bank

Example:

Good afternoon <SAS POC>,

I would like to send a 314(b) request to <bank name> in regard to their client <client name>. Can you please advise me of the name and contact information for the contact at that financial institution?

Research conducted for the originator shows that <CLIENT NAME> banking with <BANK NAME> could only be identified as a <type of business> in <city, state, country>. Research conducted for the beneficiary shows that <COMPANY NAME> banking with <BANK NAME> appears to be a <information regarding customer's business> in <location>.

The transactional activity cannot be verified as to why what appears to be a <type of business> is sending funds to what appears to be a <type of business>. As the purpose behind this transaction cannot be identified, a request for additional information will be issued.

Screen Shot of Wire included:

2. The SAS POC provides approval and 314(b) contact details for respective bank.

Example:

Please consider this email as authorization for you to initiate the 314(b) inquiry with <name of bank>.

Please copy me and the ICRO Alerts mailbox on your outgoing inquiry.

I have logged your request. Please update me periodically with the status of this 314(b) request and when you have completed your inquiry.

Please direct all questions regarding the 314(b) inquiry directly to the POC. If the POC delegates your request to another person, then you may call that person.

The inquiry can only be used if you suspect an ML issue and if you need information from the above-mentioned financial institutions to understand transactions you see here at HBUS.

Any exchanged information MUST be limited to the scope of money laundering or terrorist financing. All information received from a participating bank is confidential and must be treated with the same level of care and confidentiality as the private information we have regarding our own customers.

The 314(b) POC for <name of bank> is:

<contact name>

<contact email address>

<contact phone number>

<SAS POC signature block>

3. The TL drafts the e-mail and sends it to the RFI Coordinator, including the TL as the point of contact in the e-mail,
4. The RFI coordinators approve (or request changes) and send it out, encrypted, through US AML Compliance using the template below.
5. The response may take some time. Keep in contact with the SAS POC and the TMU on the status of the request.

6.1.1 Template for 314b Inquiry

Good Afternoon,

I am writing to you today on behalf of <SAS POC name> (HSBC Bank USA NA- 314(b) contact officer). Pursuant to Section 314(b) (Information Sharing) regarding the below entity in question and our petition for the following request in regards to [314b bank]. Any exchanged information MUST be limited to the scope of money laundering or terrorist financing. All information received from a participating bank is confidential and must be treated with the same level of care and confidentiality as the private information we have regarding our own customers.

As part of our ongoing obligation to monitor activity, HSBC Bank USA N.A. identified the below transactions. It is our understanding that <customer name> with an account number of <account number> currently maintains an account with <314b bank name>.

The WIRE Transfer Information appears below for reference:

Originator: 123456789, NAME LTD., MAIN STREET, SAN FRANCISCO CA 99999

Beneficiary: AB123456789, NAME LTD, SECOND ROAD, PO BOX 1234, CITY, STATE

Total # of Wires: 1

As per our standard review procedures, we are required to obtain following information on this client:

1. Please provide the following information for <CUSTOMER NAME>:
 - a. Principal place of business address
 - b. Line of business
 - c. Full legal names of all beneficial owners and directors/officers
 - d. Country of incorporation (including company registration number)
 - e. Date of incorporation
 - f. Approximate annual revenue and source of funds
 - g. URL/web site
2. How long has <BANK NAME> had a relationship with customer <CUSTOMER NAME>?
3. What is the nature of the relationship between <CUSTOMER NAME> and <BENEFICIARY NAME>?
4. Please provide the commercial purpose of the payments between <CUSTOMER NAME> and <BENEFICIARY NAME>.
5. Please provide any information in regards to <BENEFICIARY NAME> (line of business, address, beneficial owners, web address and etc.).
6. What due diligence has been performed on <CUSTOMER NAME>. and when was it last performed?
7. Is the activity consistent with your knowledge of your customer's expected business activity?
8. Is there any additional information that is relevant to this inquiry?

Your prompt response within 10 business days would be appreciated.

Please reply to this e-mail or respond to <SAS POC, e-mail address and phone number>.

The Investigator on this case is <name of Investigator, e-mail address, and phone number>.

HBUS is responsible for every US dollar wire transfer processed on behalf of its clients. According to the USA PATRIOT Act passed in October of 2001 and the US Treasury Press Release which refer to Section 312 of the US PATRIOT Act, we must perform due diligence regarding the legitimacy of transactions processed. Information provided to HBUS remains in our internal files as the obtainment of such information merely establishes that we have been duly diligent in the processing of the US dollar wire transactions.

NOTE - A recorded line is available for US to record conversations.

Section 7: Reporting Suspicious Activity

7.1 Overview

Banks, bank holding companies, and their subsidiaries are required by federal regulations to file a SAR with respect to:

- Criminal violations involving insider abuse in any amount.
- Criminal violations aggregating \$5,000 or more when a suspect can be identified.
- Criminal violations aggregating \$25,000 or more regardless of a potential suspect.
- Transactions conducted or attempted by, at, or through the bank (or an affiliate) and aggregating \$5,000 or more, if the bank or affiliate knows, suspects, or has reason to suspect that the transaction:
 - o May involve potential money laundering or other illegal activity (e.g., terrorism financing).
 - o Is designed to evade the BSA or its implementing regulations.
 - o Has no business or apparent lawful purpose or is not the type of transaction that the particular customer would normally be expected to engage in, and the bank knows of no reasonable explanation for the transaction after examining the available facts, including the background and possible purpose of the transaction.

In addition, Code of Federal Regulations - Title 31 section 103.18 (31 CFR 103.18) identifies when a Bank is required to report suspicious activity.

The section requires that a Bank file a SAR in the following circumstances:

1. A transaction requires reporting under the terms of this section if it is conducted or attempted by, at, or through the bank, it involves or aggregates at least \$5,000 in funds or other assets, and the bank knows, suspects, or has reason to suspect that:
 - i. The transaction involves funds derived from illegal activities or is intended or conducted in order to hide or disguise funds or assets derived from illegal activities (including, without limitation, the ownership, nature, source, location, or control of such funds or assets) as part of a plan to violate or evade any federal law or regulation or to avoid any transaction reporting requirement under federal law or regulation;
 - ii. The transaction is designed to evade any requirements of this part or of any other regulations promulgated under the Bank Secrecy Act, Pub. L. 91–508, as amended, codified at 12 U.S.C. 1829b, 12 U.S.C. 1951–1959, and 31 U.S.C. 5311–5330; or
 - iii. The transaction has no business or apparent lawful purpose or is not the sort in which the customer would normally be expected to engage, and the bank knows of no reasonable explanation for the transaction after examining the available facts, including the background and possible purpose of the transaction.
2. When to File: A bank is required to file a SAR no later than 30 calendar days after the date of initial detection by the bank of facts that may constitute a basis for filing a SAR. If no suspect was identified on the date of the detection of the incident requiring the filing, a bank may delay filing a SAR for an additional 30 calendar days to identify a suspect. In no case shall reporting be delayed more than 60 calendar days after the date of initial detection of a reportable transaction. In situations involving violations that require immediate attention, such as, for example, on-going money laundering schemes, the bank shall immediately notify, by telephone, an appropriate law enforcement authority in addition to filing timely a SAR.

3. **Record Retention:** A bank shall maintain a copy of any SAR filed and the original or business record equivalent of any supporting documentation for a period of five years from the date of filing the SAR. Supporting documentation shall be identified and maintained by the bank as such, and shall be deemed to have been filed with the SAR. A bank shall make all supporting documentation available to FinCEN and any appropriate law enforcement agencies or bank supervisory agencies upon request.
4. **Confidentiality:**
 - i. No bank or other financial institution, and no director, officer, employee, or agent of any bank or other financial institution, who reports a suspicious transaction under this part, may notify any person involved in the transaction that the transaction has been reported. Thus, any person subpoenaed or otherwise requested to disclose a SAR or the information contained in a SAR, except where such disclosure is requested by FinCEN or an appropriate law enforcement or bank supervisory agency, shall decline to produce the SAR or to provide any information that would disclose that a SAR has been prepared or filed, citing this paragraph (e) and 31 U.S.C. 5318(g)(2), and shall notify FinCEN of any such request and its response thereto.
 - ii. A bank, and any director, officer, employee, or agent of such bank, that makes a report pursuant to this section (whether such report is required by this section or is made voluntarily) shall be protected from liability for any disclosure contained in, or for failure to disclose the fact of such report, or both, to the full extent provided by 31 U.S.C. 5318(g)(3).

When completion of a Suspicious Activity Report (SAR) is required for PCM activity, FinCEN provides the US Government form TD F 90-22.47, version 4 for depository institutions.

7.2 SAR Writing Procedures

Refer to the SAR Writing Team (SWT) Procedures at http://connect.us.hsbc/hnah_compliance/us_aml_pro_forms.html

7.3 SAR Log

SAS maintains an Excel-based log of all SARs filed against PCM clients. This log indicates which department filed the SAR (e.g., PCM, SAS, OFAC).

7.4 Case File

All materials related to the SAR filed (i.e., electronic copies of the investigation and copy of the SAR filing) are stored as part of the alert and/or case in Norkom, the system of record. No physical file is maintained in addition.

7.5 Cross Relationship Check/Enterprise Wide Review

Due to the nature of the PCM business, cross-relationship checks across the enterprise are not required when reviewing correspondent customer activity.

7.6 The 2+ SAR Review

Circumstances where a customer, entity or individual is the subject of multiple SARs in a defined period of time may be referred to the Multiple SAR Committee for review and appropriate dispensation. See AML Compliance Oversight Committee (ACOC) procedures for detailed guidance on types of entities and criteria for review.